

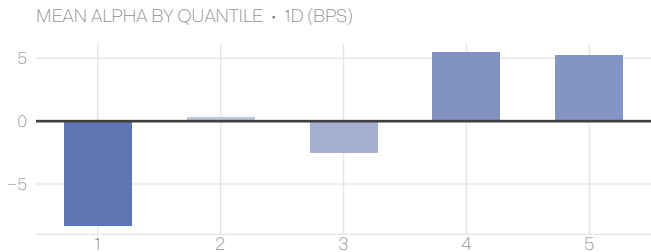
# Margin Risk

Crowded, highly-leveraged long positions get washed out by cascading liquidations – a structural drag that the factor systematically shorts.

The factor capitalises on the tendency of assets with higher at-risk-of-liquidation positions to underperform less leveraged assets.

Margin Risk predicts positions vulnerable to forced closure at 1%, 2%, 5% and 10% deviations from the current price. Data is aggregated from the top 10 most reputable exchanges.

The asset universe consists of the most liquid and actively traded assets, identified on a rolling basis – various techniques employed to keep it both stable and relevant, as well as survivorship-bias free.



To balance each asset's risk contribution, positions are scaled according to the inverse of their rolling volatility.

The factor is available (point-in-time) with hourly updates, 5 minutes past the hour (UTC).

## EXAMPLE TOP 40 CROSS-SECTIONAL PORTFOLIO

Long and short the dynamic, rolling Top 40 universe (point-in-time), sized by the factor's cross-sectional strength. Rebalanced daily.

[Download Returns \(CSV\)](#) →

### PERFORMANCE

Report Period Start Date Jan 2021 • End Date Apr 2026

| Gross Rate of Return |       |       |        |        | Annual Performance (%) |       |       |       |       |       | Since Inception |
|----------------------|-------|-------|--------|--------|------------------------|-------|-------|-------|-------|-------|-----------------|
| 1M                   | 3M    | 1Y    | 3Y     | 5Y     | 2021                   | 2022  | 2023  | 2024  | 2025  | YTD   | SI              |
| 2.3%                 | -6.9% | 18.3% | 203.7% | 387.5% | 214.9%                 | 43.4% | 10.4% | 90.8% | 40.0% | -2.4% | 1199.8%         |

### RISK & RETURN PROFILE

| Realised Volatility (annualised) |       |       |       | Return-to-Risk Ratio |       |      |      | Max Drawdown |            |
|----------------------------------|-------|-------|-------|----------------------|-------|------|------|--------------|------------|
| 1M                               | 3M    | 1Y    | 3Y    | 1M                   | 3M    | 1Y   | 3Y   | %            | Date       |
| 19.3%                            | 24.7% | 24.4% | 28.4% | 0.12                 | -0.28 | 0.75 | 7.17 | -23.2%       | 2024-01-12 |

### CUMULATIVE RETURN



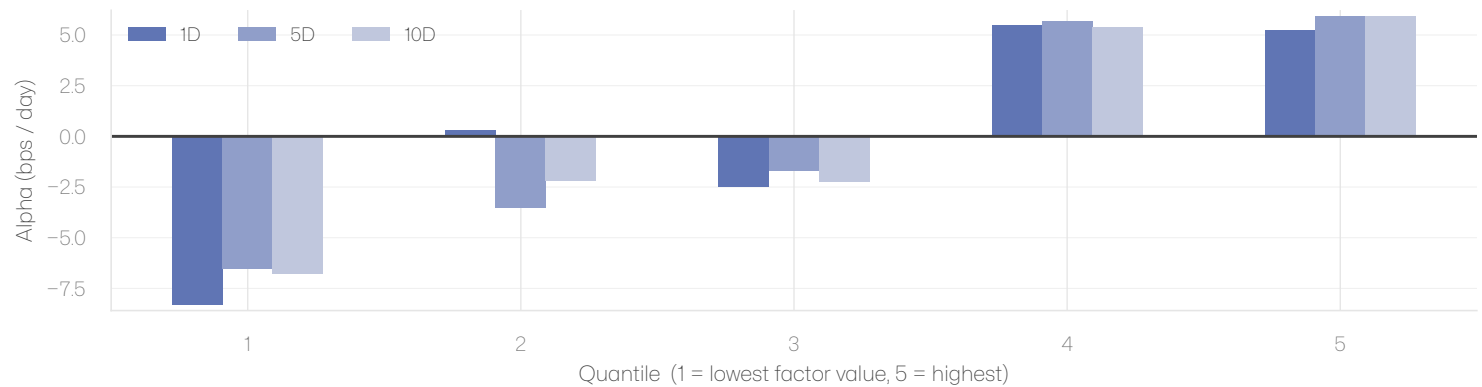
Note – Performance is for an illustrative single-factor portfolio (positions sized proportionally to the factor signal across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

# Factor Analysis

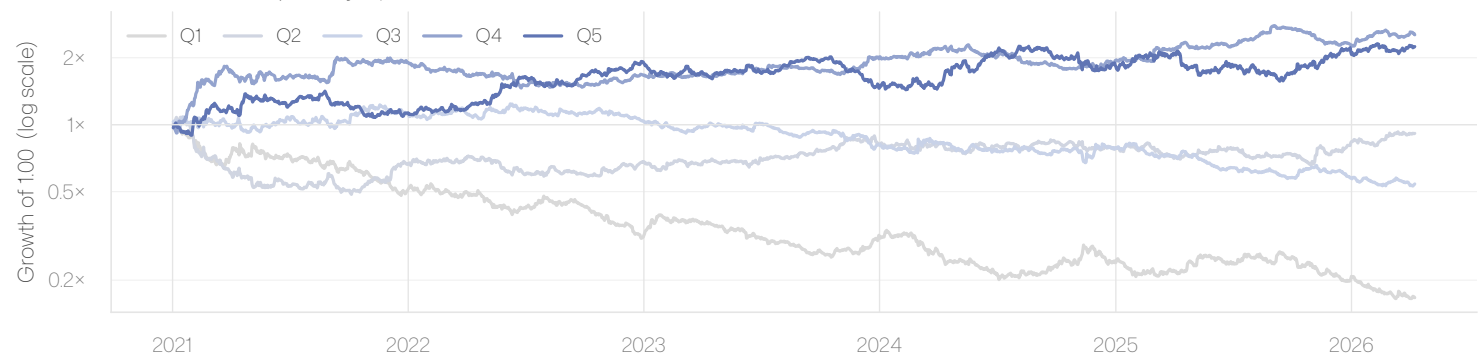
[Download Factor Data \(CSV\)](#)

Diagnostics on the raw factor values, independent of portfolio construction: the quantile and IC plots show whether the signal cross-sectionally separates out- from under-performers, and how consistently. Computed point-in-time on the rolling Top 40 universe (the live factor spans many more tokens – see the raw factor-data CSV in the data room).

Mean Forward Return by Quantile • demeaned

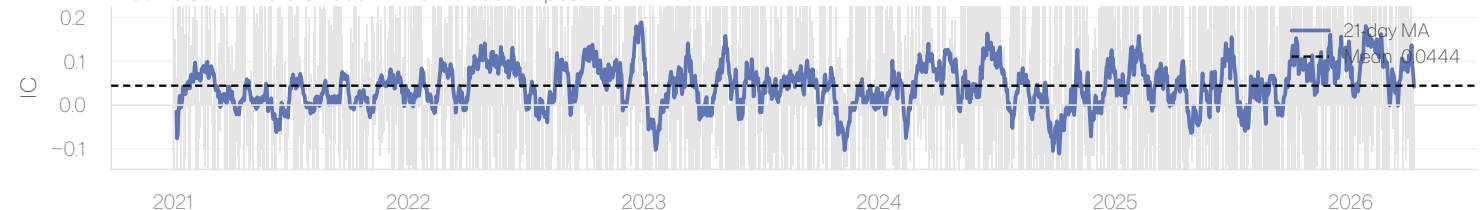


Cumulative Alpha by Quantile • demeaned, 1D



Information Coefficient (Spearman)

Mean 0.0444 • Std 0.2659 • IR 0.17 • 56.4% positive • 1D



## ABOUT UNRAVEL

Unravel publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – designed to be combined into multi-factor portfolios that diversify away single-factor risk. Full catalog, methodology and API at [unravel.finance](https://unravel.finance); see the materials below.

[View this factor on unravel.finance](#)
[Replication notebook – backtest in AlphaLens](#)

Have further questions? [Book a call with our team – unravel.finance/booking](https://unravel.finance/booking)

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